

Other momentum players eventually notice the rise in the stock's price. Many jump on the bandwagon the day after a surprisingly good earnings announcement. That's when the bump begins. Volume spikes upward along with the stock's price. Quickly rising prices entice others to join the fray and that in turn sends the stock even higher. As momentum increases, price jumps to form a new, higher-sloping trendline. Then things start going wrong.

Supply catches demand. As that happens, the rise slows and the smart money turns cautious. Investor enthusiasm wanes, and the war between supply and demand turns. The stock rounds over and starts heading down.

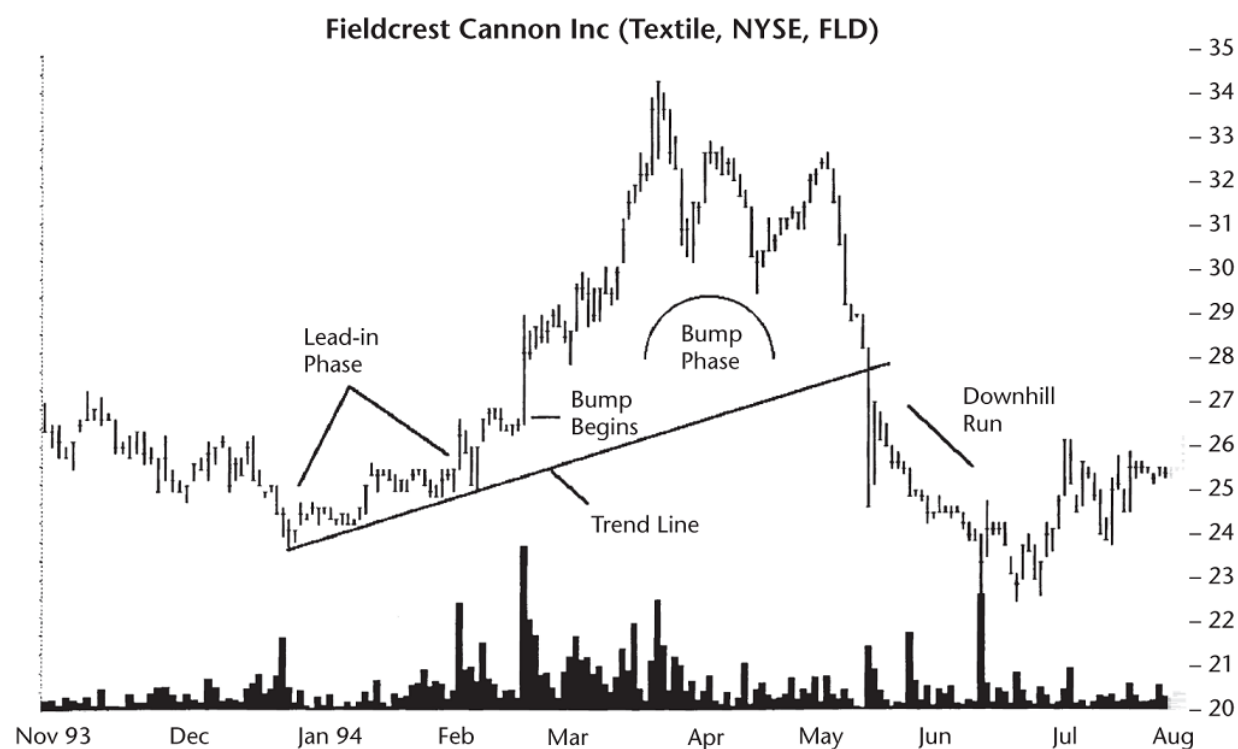


Figure 15.1 Price moved higher along the trendline in the lead-in phase, jumped up during the bump phase, and then crashed down through the trendline during the downhill run. Volume at the start of the BARR and again at the start of the bump is usually high but tapers off as the bump rounds over. About half the time volume picks up where price pierces the trendline.

When the smart money sees price falling, they sell and the decline picks up speed. Downward momentum increases and returns price to the trendline. At this point, buying enthusiasm may increase and send price back up for